Capitalism and Neo Liberalism

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Definition of capitalism

- the private ownership of means of production without any interference from the government where market decides the prices, the main motivation is profit and classes are decided according to the amount of capital one have.
- the capital can be money, cultural, intellectual etc.
- the main idea is lassos faire #lassosFaire , where there is no room for government involvement.

Lifecycle :

- Agrarian means of production to mercantilism (16th to 17th century) where state owned the means of production with aim of maximizing exports, minimizing imports and accumulating precious metals for industry (both commercial and defense) and of course state got richer and richer for example east india company, this is also known as the early capitalism. #mercantilism
- After mercantilism, in 18th century during the industrial revolution, the idea of industrial capatilism flourished, it included the private ownership of means of production, wage labor system, centralized factories. #industrialCapitalism
- #industrialCapitalism had multiple problems such as the money was revolving around that one capitalist, the alienation of labor, and massive labor exploitation.
- keynesian model was introduced after the great depression/recession, in which there is periodic involvement of government in order to maintain balance. The absence of regulation was the reason this model was introduced , moreover the factors that help capitalism also failed it. #keynesianModel

The reason for depression/recession: #thegreatdepression

- the main idea in capitlism is the maximization of profit and since the inherit nature of capitlaism breed competition, a capatalist need to grow means of production in order to sustain in the market, but the thing that suffers is labor, becauase the concept of alientation kicks in.
- Now the production is increased, and the ability of buying is decreased hence creating a huge gap.
- This reason failed the idea that under capatilsm the market will be self healing and it will grow without intervention.
- example the great depression in 1930.

Theory of surplus value

- if a person invested $100 in means of production and $100 in labor wage and got a return of $800, so 800 - 200 = 600, this 600 will go to the capitalist but here Karl marx differed, he said the 600 will go to the labor as well.

Types of capitalism

- oligarchy capitalism
- big firm capitalism
- entrepreneurial capitalism
- state guided capitalism

Neoliberalism

- an economic idea of free market, massive privatization, deregulation, and elimination of public good.
- the fundamentals of the society became commodities such as health (big pharma companies and their lobby to defend their interests), education (the student loans and after graduation bankruptcy rates) , utilities (the privatization of electricity, water and gas).
- The rule of the market or capitalistic idea gives birth to materialism and consumerism, where the material become the only sole purpose and to help people achieve that purpose capitalists started to market the things that are not essential yet part of the material culture, this idea is called consumerism. #ruleOfMarket
- ***how do you keep making profits if people already have what they need?***
- Market oriented and value oriented rationality